

The ABG Shipyard Fraud (2012–2017)

A case study on India's largest bank fraud by amount: how Rs 22,842 crore of consortium loans allegedly left the shipyard, and what simple data checks could have caught it.

1. Company Background

ABG Shipyard Limited (ABGSL) began life in 1985 as Magdalla Shipyard Pvt. Ltd. and grew into the flagship of the ABG Group, which also had shipping and cement interests. It was listed on the BSE and NSE and ran shipyards at Surat and Dahej in Gujarat, becoming one of the largest private shipbuilders in India with roughly 2,000 employees. The company was founded and led by Rishi Kamlesh Agarwal as chairman and managing director; business press describes him as a nephew of the Ruia brothers of the Essar group.

ABGSL banked with the State Bank of India (SBI) from 2001 and later added many more lenders. By the end it owed money to a consortium of 28 banks and financial institutions led by ICICI Bank. Shipbuilding is a long-cycle, working-capital-hungry business. When the global shipping downturn cut commercial demand and some ship contracts were cancelled, inventory piled up and cash ran short. SBI's own complaint says there was no demand for commercial vessels even in 2015 and that a lack of defence orders made it hard to keep up repayments.

The problem was not only the downturn. The account turned into a non-performing asset (NPA) in November 2013 and the debt was restructured in March 2014, but operations never revived. A forensic audit by Ernst & Young (EY), commissioned by the lenders in April 2018 and reported in January 2019, then concluded that between April 2012 and July 2017 funds had been diverted, misappropriated and used in breach of trust. The CBI registered its case on 7 February 2022, and arrested Agarwal on 21 September 2022. As of the latest public reporting I found, the criminal case is still in court and the company is in liquidation.

1.1 Timeline at a Glance

When	What happened
1985	Company founded as Magdalla Shipyard; later becomes ABG Shipyard.
Apr 2012 – Jul 2017	Period covered by the EY forensic audit; the alleged diversion happens in this window.
Nov 2013	Account turns NPA (CBI press note gives 30 Nov 2013; some sources say 13 Nov).
Mar 2014	Debt restructured under the Corporate Debt Restructuring (CDR) route; business is not revived.
Oct 2016	Standard Chartered files a criminal complaint with Maharashtra EOW over a Rs 200 crore short-term loan.
1 Aug 2017	NCLT Ahmedabad admits ABGSL to insolvency on ICICI Bank's petition.
Apr 2018	Lenders appoint EY for a forensic audit (joint lenders' meeting, 10 April 2018).
Jan 2019	EY report flags diversion of funds, misappropriation and criminal breach of trust.
25 Apr 2019	NCLT orders liquidation; Sundaresh Bhat appointed liquidator.
Mar 2019 – Mar 2020	Individual lenders (from Exim Bank to Andhra Bank) classify the account as fraud.
8 Nov 2019	SBI files its first complaint with the CBI; CBI seeks clarifications on 12 Mar 2020.
Aug 2020	SBI files a fresh, more detailed complaint (some reports date it Sept or Dec 2020).
7 Feb 2022	CBI registers FIR; searches at 13 locations on 12 Feb; lookout circulars on 15 Feb.
Feb 2022	ED registers a money-laundering case.
21 Sep 2022	CBI arrests Rishi Agarwal. Next day ED attaches assets worth Rs 2,747.69 crore.

When	What happened
19 Nov 2022	CBI files chargesheet against Agarwal and 24 others (25 accused in total).
Dec 2022	Trial court grants statutory bail on the ground that the chargesheet was incomplete; CBI challenges it in the Delhi High Court.
2023 onward	Court takes cognizance of the case; Agarwal reported to have got bail in the related IL&FS loan money-laundering case; liquidation continues.

Dates differ slightly between press reports. Where they conflict I have used the CBI, ED or court-reported date and said so.

1.2 Key Numbers

Item	Figure	Note
Alleged fraud amount	Rs 22,842 crore	As in the SBI complaint and CBI FIR (some reports misprint it as 22,482)
Lenders in the consortium	28 banks and institutions	Led by ICICI Bank; SBI exposure Rs 2,468.51 crore per CBI
Period of alleged diversion	Apr 2012 – Jul 2017	About 5 years 3 months (EY audit window)
Group companies used	Close to 100	Business Standard; other reports say 98 sister concerns
Shell companies / Singapore entities	27 shells, 38 Singapore entities	Reported from the ED probe; allegations
Routed to repay own dues via vendors/group firms	Rs 1,415 crore	From EY findings as summarised in press and student decks
Transferred to 7 related firms to buy property	Rs 83 crore	Property not shown in ABGSL fixed assets
Assets attached by ED	Rs 2,747.69 crore	My arithmetic: about 12% of Rs 22,842 crore
NPA to FIR	About 8 years 3 months	My arithmetic: Nov 2013 to Feb 2022
First SBI complaint to FIR	About 27 months	My arithmetic: 8 Nov 2019 to 7 Feb 2022
Accused in the chargesheet	25 (Agarwal plus 24)	Includes directors, company entities and others

2. How the Fraud Happened

As with the Gensol case, there was no clever technical trick. A shipbuilder borrowed heavily, the business weakened, and the money allegedly went to places that were not shipbuilding. Everything below is what the lenders, EY, the CBI and the ED have alleged or reported; much of it is still to be tested in court.

2.1 The Lending Consortium

ABGSL took three basic kinds of facility from its lenders (term loans, working capital and non-fund-based limits such as letters of credit and bank guarantees). Many of its subsidiaries were set up to raise fund-based and non-fund-based facilities from lenders of all kinds. The exposure was spread across the banking system:

Lender	Reported dues (Rs crore)	Share of Rs 22,842 crore
ICICI Bank	7,089	31.0%
IDBI Bank	3,639	15.9%
State Bank of India	2,925	12.8%
Bank of Baroda	1,614	7.1%
Exim Bank	1,327	5.8%
Punjab National Bank	1,244	5.4%
Indian Overseas Bank	1,244	5.4%
Seven lenders together	19,082	83.5%

Dues are as reported in the press (Outlook Business, YLCC); the last row and the percentages are my arithmetic. They may be measured on a different basis from the Rs 22,842 crore fraud figure (for example SBI's CBI-reported exposure is Rs 2,468.51 crore), so treat the shares as indicative.

2.2 How the Money Allegedly Moved

EY's audit and the CBI chargesheet describe four broad channels. In my words:

- **Overseas subsidiaries.** Money was invested in overseas arms, mainly ABG Singapore. One example reported from EY: an investment of about US\$43 million that was meant to come back as funds under the Master Restructuring Agreement was instead treated as a possible diversion, and further money went to the same subsidiary and onward to offshore parties and tax havens.
- **Round-tripping to repay other lenders.** About Rs 1,415 crore was allegedly routed through vendors and group companies to pay ABGSL's own dues. This is the classic evergreening pattern: new borrowing used to keep old accounts looking current. The ED also alleges that loans from IL&FS (around Rs 2,000 crore of losses to that lender) were used to stop other accounts from turning NPA.
- **Purchases outside the books.** Rs 83 crore went to seven related companies to buy properties that never appeared in ABGSL's fixed assets. Payments to related names such as Aries Management Services, GC Properties and Gold Croft Properties are also mentioned in the reporting.
- **A web of paper entities.** The CBI says ABGSL floated close to 100 companies to move funds. The ED says it set up 27 paper companies and moved money through 38 Singapore entities. Fake contracts and misuse of letters of credit and bank guarantees are also alleged. Such a web makes it easy to hide who finally received the money.

The result, according to the CBI, was that borrowed money was used for purposes other than the ones it was sanctioned for, including creating personal assets for those running the company.

2.3 Keeping It Hidden: Restructuring and Evergreening

After the account turned NPA in November 2013, the lenders approved a CDR package in March 2014. Restructuring is supposed to give a viable business time to recover. Here it also kept the borrower inside the banking system for years, while the CBI says ABGSL breached the CDR terms. The business impact of the downturn is real, so the case is a mix of genuine business failure and alleged diversion. That mix is what made it hard to see: weak demand explained the missed payments, so the diversion could hide behind the downturn.

2.4 The Failure of Oversight

On paper, ABGSL was watched by many parties: a consortium of 28 lenders, a restructuring monitor, statutory auditors, the RBI and the IBC process. Yet:

- The NPA date (2013) and the first criminal complaint to the CBI (Nov 2019) are about six years apart. The forensic audit itself was only commissioned in April 2018, more than four years after the NPA.
- The first complaint (Nov 2019) led to a CBI query in March 2020, a second complaint in 2020 and an FIR only in Feb 2022. Political parties and the Finance Minister argued over who was responsible for the delay, and I do not take a side here; the facts show a long gap.
- Standard Chartered had already gone to the Maharashtra EOW in October 2016 about a Rs 200 crore loan that was not repaid. The RBI reportedly flagged weak security cover for IL&FS exposure to ABG as early as 2017.
- Press reports say the statutory auditor failed to red-flag the fund diversion, and the CBI has said it will look at the role of public servants. SBI's second complaint was reported to have cleared all bankers, which critics found surprising. These are questions for the courts, not conclusions.

2.5 Why It Happened: The Fraud Triangle

As in the Gensol report, I use the fraud triangle as a classroom tool. The points are my reading of public facts, not findings of a court, and the accused have not yet had their case heard in full.

- **Pressure:** Contract cancellations, piled-up inventory, a long operating cycle and no fresh orders meant ABGSL could not service its debt. A restructured account that still could not pay is under strong pressure to avoid being classified a fraud or a default.
- **Opportunity:** Promoters controlled the parent and close to 100 group entities, including overseas subsidiaries in Singapore. Lending was spread across 28 institutions, so no single lender saw the whole picture, and the lead bank was one of many monitoring different pieces. Statutory audit relied on the company's own records.
- **Rationalisation:** The orders do not tell us what the promoters thought. A common story in distressed groups is that money moved between group firms is "our own" or only temporary, but I treat this as a possibility only. Bank money belongs to depositors and lenders.

2.6 Red Flags That Were Visible Early

Red flag	What was visible	Simple test that catches it
Overseas subsidiary investments	Large sums going to ABG Singapore and other offshore entities	Track outflows to foreign group entities against sanctioned use
Huge group web	Close to 100 affiliates, many created to raise funds or guarantees	Map the group; flag borrowers with many thinly-staffed entities
Related-party payments	Rs 83 crore to seven related firms for properties	Match payees to promoter and director lists
Round-trip repayments	Rs 1,415 crore routed through vendors and group firms to pay own dues	Check if loan repayments are funded by new loans or vendor money

Red flag	What was visible	Simple test that catches it
Restructured but not revived	NPA in 2013, CDR in 2014, still no revival	Review post-restructuring cash flows against the plan
Stressed borrower still getting loans	New IL&FS loans despite stress since 2012	Screen new lending to accounts that are already stressed
Creditor complaint	Standard Chartered complaint in Oct 2016	Treat a lender's criminal complaint as an alert to all lenders
Contract cancellations and stock build-up	Inventory piled up and operating cycle lengthened	Track inventory days and order book trends
Assets not on books	Properties bought by related firms, not in fixed assets	Reconcile cash outflows with the asset register

3. Who Was Affected

- **Lenders and public money:** The consortium was led by ICICI Bank and included many state-owned lenders such as SBI, IDBI, Bank of Baroda, PNB, Exim Bank and Indian Overseas Bank. Losses on public sector exposure are ultimately a public cost. Reported dues to lenders were put at about Rs 17,000 crore when liquidation began in 2019.
- **Employees and the yards:** The Surat and Dahej shipyards had roughly 2,000 employees and many more contractors and suppliers whose businesses depended on the yard. I could not find a reliable figure for jobs lost or unpaid vendor dues, so I do not give one.
- **Other lenders and the wider financial system:** Non-bank lenders such as IL&FS and Standard Chartered were drawn in. The ED says the IL&FS loans of Agarwal and his wife caused it a loss of about Rs 2,000 crore.
- **Shareholders:** ABGSL was listed on the BSE and NSE. I did not find a dependable price-fall figure for this report, so I only note that minority shareholders hold the weakest claim in an insolvency.
- **Indian shipbuilding and public trust:** ABG was among the biggest private yards. Its failure removed capacity during the push for domestic shipbuilding, and the long delay before action became a political issue and fed doubts about bank oversight.

4. Did ABG Shipyard Recover?

No. The company never returned to operations. It went through insolvency (CIRP) from August 2017 and then liquidation from April 2019, and criminal cases against the promoters are in court. The points below are based on public reporting available at the time of writing.

- **Legal recovery:** The CBI arrested Rishi Agarwal on 21 September 2022 and filed a chargesheet against 25 accused on 19 November 2022. The Delhi court granted statutory bail in December 2022 on the argument that the chargesheet was incomplete, the CBI moved the High Court against it, and the Rouse Avenue court later took cognizance of the case against the company, a director, a CA and auditor, public servants and subsidiaries. I found no report of a conviction, so this is all still alleged.
- **Financial recovery:** The ED attached assets worth Rs 2,747.69 crore in September 2022, including the shipyards at Surat and Dahej, agricultural land and commercial and residential property in Gujarat and Maharashtra, and bank deposits. Assets in the liquidation include five ships, residential land near Bharuch, industrial land near Magdalla port and farmland near Kolkata. Several auction rounds reportedly failed before assets were offered for private sale. I did not find a published final recovery figure; reports describe realised recovery as minimal. ED attachments also sit awkwardly with the IBC, because attached assets are harder for a liquidator to sell.

- **Regulatory recovery:** Banks now classify accounts as fraud, order forensic audits and make chairmen and managing directors accountable under policies that began around 2014, but this case shows how slowly they can run. As of 2026 reporting, proceedings continue and the company remains in liquidation.

5. If I Had Been Present: My Approach

As a data analytics student I would again use three stages: prevention, detection and escalation. ABG is harder than Gensol because there is no single asset such as a car with a chassis number. The trail is money, not vehicles. Yet every rupee that leaves a loan account has a payer, a payee, a date and a stated purpose, and those can be tested.

5.1 Prevention: Control the End Use

Loans were drawn for ships and working capital, but a large share allegedly went to group entities, so end-use monitoring was the missing control. I would tie each drawdown to a milestone (steel purchase, contract stage, vendor invoice) and pay vendors directly through a monitored escrow or trust-and-retention account. I would keep one shared list of promoter related parties and block or escalate any payment to those names. For a group with overseas subsidiaries, I would require lender approval for every outward investment and annual confirmation of the subsidiary's own bank balances directly from its bank.

5.2 Detection: Simple Analytics on Loan and Bank Data

I would run these checks every quarter, not once after the account turns bad:

- **Does the money match the purpose?** Tag every outflow from the loan accounts as vendor, salary, tax, related party, foreign or unknown. A rising share of related-party and foreign payments, or a large "unknown" bucket, is a red flag on its own.
- **Network of entities:** Build a graph of companies, directors, addresses, PAN and bank accounts using MCA filings. A borrower with close to 100 linked entities and a few shared directors or addresses will show up as one dense cluster. Payments moving around the cluster and then out to Singapore are the pattern to look for.
- **Evergreening test:** For each repayment, check whether the source of funds was a fresh loan or a payment from a group company that was itself financed by the borrower. A loop of the same amounts (for example Rs 1,415 crore moving through vendors and returning as repayment) can be found by matching amounts and dates across accounts.
- **Do the books reconcile?** Compare cash paid for property and investments with the fixed-asset and investment registers. Rs 83 crore of property bought by related firms but missing from the register is a one-line variance.
- **Order book vs. borrowing:** Compare drawn limits with contracts on hand, work-in-progress and inventory days. Borrowing that rises while orders fall and inventory piles up needs an explanation.
- **Benford's Law and duplicates:** Run first-digit tests on invoices and payments to group vendors, and look for round amounts, repeated amounts and invoices from one seller.

5.3 Escalation and Broader Reflection

An alert is useless if only the borrower's own lenders see parts of it. I would share one monitoring dashboard across all 28 lenders, with exceptions going to an independent risk committee and the regulator: a stressed account still receiving new money, a creditor's criminal complaint (like Standard Chartered's in 2016), a restructuring that misses its targets, or a rise in foreign and related-party payments. I would also set a fixed time limit from NPA to forensic audit, for example six months, instead of

the four years it took here. A restructuring package is not evidence that the borrower is honest.

5.4 What These Tests Would Have Shown

Test	What it compares	What it would likely have shown
End-use tagging	Outflows from loan accounts against sanctioned purpose	Money moving to group firms, overseas subsidiaries and own lender repayments
Entity network	Directors, addresses and accounts across ABG entities	A dense cluster of close to 100 linked entities, plus Singapore links
Evergreening loop	Source of each repayment	About Rs 1,415 crore routed through vendors and group firms to repay own dues
Asset reconciliation	Cash paid for property against the fixed-asset register	Rs 83 crore of property outside the books
Order book vs. debt	Drawn limits against contracts and inventory	Borrowing up while orders fell and stock piled up
Creditor signals	Other lenders' complaints and NPAs	Standard Chartered complaint (2016), NPA in 2013

Results are based on the lenders' complaints, the CBI and ED statements and press reports. They are allegations until proven in court, and the tests are my proposal, not what any lender actually did.

6. Lessons Learned

- **Follow the money, not just the paper.** A loan sanctioned for ships is only safe if the disbursed money can be traced to ship-related spending.
- **Large groups need group-level monitoring.** Close to 100 related entities, several overseas, make a borrower hard to see one account at a time.
- **Restructuring is not a cure.** A CDR package bought time, but without strict end-use checks it also bought time for diversion.
- **Share information across lenders.** A creditor complaint in 2016 should have reached every member of the consortium and triggered checks.
- **Act fast on forensic findings.** About eight years passed between the NPA and the FIR. The faster the response, the more recoverable the assets.
- **Do not let a downturn explain everything.** Genuine business stress and fraud can occur together; the data should be tested separately for each.

7. Conclusion

The ABG Shipyard case is, by amount, the largest bank fraud case registered in India: Rs 22,842 crore alleged across 28 lenders. It shows how loans for real, capital-intensive business can be allegedly diverted through overseas subsidiaries, round-tripped repayments and a web of close to 100 group entities, while a weak shipping market gives an easy explanation for missed payments. Recovery has been slow and small compared with the loss: the company is in liquidation, only about 12% of the fraud amount has been attached by the ED, and no conviction has been reported. For a data analytics practitioner, the point is clear. The red flags were mostly in bank and ledger data well before the forensic audit, and the tests are simple. What was missing was applying them regularly, across all lenders together.

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